

- If you are interested in making a quick buck in the market, you are at a wrong place. You need to be at a casino or a gambling center. I have spent enough time in the market observing thousands of individuals with different expectations and trading or investment styles. There are different stock stories. There are turnaround stories which have paid off, and also stories which went bust. I have been fortunate to see it all. Sometimes luck plays out and the individual mistakes it for his/her brilliance. But one universal fact prevails - In the long run, there is no easy way to make money in the markets.
- My recommendation would be that you wait for at least 18–24 months in your journey before starting to invest in stocks or until you have at least 12 months experience in investing and tracking your mutual fund portfolio. It is important to appreciate the volatility of a stock based investment either directly through stocks or through mutual funds.
- To start with, you should not pick more than one or two stocks. Now the question is what kind of stock and what stocks? In general, the thumb rule is that blue chip companies pose less risk (and relatively lesser growth as well), and are good to start your stock portfolio with. I remember having started with a ₹5,000/ investment in ICICI Bank stock. I was fortunate to earn a 15% growth within 1 month. Even if you do not reap that kind of growth, at least you are relatively sure that you will not lose your money in the long run (mostly).
- Another factor that I did not keep in mind for a long time during my journey was to make sure that I purchased stocks that can provide cash flow rather than only capital gains. I benefitted early in my journey and I depended a lot on various stock recommendations that I subscribed for. When the market was on the upward trend, most of these stock suggestions turned out to be correct and I still remember times when the recommended stocks rose 15 to 20% in a single day. While such a handsome return so fast in the cycle can lead you to investing a disproportionate amount of money in stocks, very soon I realized that these stock recommendations do not always hold good, and in situations when they do not hold good, you do not know what to do with